

IN THE SUPREME COURT OF BANGLADESH

HIGH COURT DIVISION

(CIVIL REVISIONAL JURISDICTION)

Civil Revision No. 2250 of 2023

In the matter of:

An Application under section 115(4) of the Code of Civil Procedure, 1908

And

In the matter of:

Present

Mr. Justice Mamnoon Rahman

Mahmudul Islam Chowdhury
and others

...Petitioners.

-Vs-

East West Container Terminals Limited
and others.

...Opposite parties.

Mr. A.F. Hassan Arif, Sr. Adv. with

Mr. T.M. Shakil Hasan, Adv.

...For the petitioners.

Mr. Fida M. Kamal, Sr. Adv. with

Mr. Md. Monzur Rabbi, Adv.

...For the opposite parties.

Heard on: **13.05.2024**

And

Judgment on: **The 21st May, 2024**

In an application under section 115(4) of the Code of Civil Procedure, 1908 rule was issued calling upon the opposite parties to show cause as to why the impugned judgment and order dated 02.12.2021 passed by the learned District Judge, Chattogram in Civil Revision No. 168 of 2021 rejecting the revision and affirming thereby judgment and order No. 11 dated 10.10.2021 passed by the learned Joint District Judge, 2nd Court, Chattogram in Other Suit No. 367 of 2020 rejecting the petition of the defendant Nos. 1-11 dated 08.03.2021 filed under Order 7, Rule 11 read with section 151 of the Code of Civil Procedure, 1908 should not be set aside and/or pass such other or further order or orders as to this court may seem fit and proper.

The short facts relevant for the disposal of this rule, are that, the opposite party No. 1 as plaintiff instituted Other Suit No. 367 of 2020 in the court of Joint District Judge, 2nd Court, Chattogram impleading the opposite party as defendants for the following reliefs;

- a) *A decree be passed for cancellation of the registered Deed of Irrevocable General Power of Attorney, bearing Deed No. 552 dated 25.01.2017 as shown in 'Schedule A' and registered in the Office of Sub-Registrar, Sitakunda, Chattogram in respect of the Companies shown in 'Schedule B', 'Schedule C' and 'Schedule D',*
- b) *A decree be passed declaring M.A Bakar, Mesbah Uddin and Abul Hashem to be the Directors of the Saleh Carpet Mills Limited [as shown in 'Schedule B']. Saleh Jute Industries Limited [as shown in 'Schedule C'] and Saleh Zarina Limited [as shown in 'Schedule D'].*
- c) *A decree and order be passed directing the defendant No. 12 Sub-Registrar, Sitakunda, Chattogram, Bangladesh to insert necessary information, note and explanation on the concerned page[s] of the respective registrar or balam book as to the cancellation of the Deed of Irrevocable General Power of Attorney, Deed No. 552 dated 25.01.2017.*
- d) *That the cost of the suit be declared in favour of the plaintiff against the contesting defendants, and/or*
- e) *That the plaintiff be given such other relief or reliefs as may be found entitled according to law and equity and such other or*

further order or orders may be passed as your Honour may deem fit and proper.

The case of the plaintiff, in short, is that, the plaintiff is a private limited company duly incorporated under the Companies Act, 1994 and the defendant No. 1 is the holder of the impugned Irrevocable General Power of Attorney bearing Deed No. 552 dated 25.01.2017. The defendants Nos. 2-11 are the executants of the impugned Irrevocable General Power of Attorney bearing Deed No. 552 dated 25.01.2017. The defendants Nos. 12-14 are proforma-defendants; that the plaintiff East West Container Terminals Limited [East West] purchased the entire shares of Saleh Carpet Mills Limited [Saleh Carpet], Saleh Jute Industries Limited [Saleh Jute] and Saleh Sarina Limited [Saleh Zarina] through 03 [three] Deeds of Agreement dated 28.08.2008 executed between the erstwhile share-holders of Saleh Carpet Mills Limited, Saleh Jute Industries Limited and Saleh Zarina Limited and East, West Container Terminals Limited represented by its Managing Director, that as stipulated in the Deed of Agreements dated 28.06.2008 within 01 (one) year from the date of signing the Deed of Agreements, East West Container Terminals Limited paid BDT. 5.00 crore for Saleh Carpet Mills Limited, BDT. 2.00 crore for Saleh Jute Limited, BDT> 1.00 crore for Saleh Zarina Limited, totaling to BDT. 8.00 crore to the former share holders of these companies as a share purchase consideration and that on 20.09.2011, East West Container Terminals Limited submitted applications to Sonali Bank Limited regarding waiver of interest for payment of dues of Saleh Carpet Mills Limited, Saleh Jute Industries

Limited and Saleh Zarina Limited. On 20.09.2011 the former management of Saleh Carpet Mills Limited sent a letter to Sonali Bank Limited in support of the waiver of interest application by East West Container Terminals Limited and on 23.11.2011 Sonali Bank Limited sent letters to East West Container Terminals Limited notifying approval of waiver of interest and after the waiver of interest, the total outstanding liability of East West Container Terminals Limited regarding Saleh Carpet Mills Limited, Saleh Jute Industries Limited and Saleh Jute Industries Limited had become BDT. 52.00 crore, the Deputy General Manager of Agrabad Corporate Branch of Sonali Bank Limited, without any legitimate authority, sent a letter dated 18 May, 2015 to East West Container Terminals Limited stating that the decision of Waiver of interest as was approved by the Board of Directors of Sonali Bank Limited had become invalid; that East West Container Terminals Limited is continuing with its negotiation with Sonali Bank Limited regarding the waiver of interest and has sent several applications to Sonali Bank Limited dated 12.12.2016, 04.12.2017, 04.07.2018. The approach of the former management of Saleh Carpet Mills Limited, Saleh Jute Industries Limited and Saleh Jute Industries Limited and the illegally appointed attorney in recent times is completely unacceptable and unreasonable. On 11.03.2020 and 19.08.2020, the defendant No. 1, Mahmudul Islam Chowdhury sent 2 (two) different letters to the Sonali Bank Limited claiming himself to be the Managing Director of Saleh Carpet Mills Limited, Saleh Jute Industries Limited and Saleh Jute Industries Limited; that in view of the above the plaintiff is entitled to

get cancelation of the deed of Power of Attorney bearing Deed No. 552 dated 25.01.2017 and declaration to the effect that the plaintiff has right, title and interest in the management of the schedule properties s purchaser of shares.

The petitioner-defendant entered appearance by filing power to contest the suit. Subsequently, the petitioners who are the defendants pressed an application under Order 7, Rule 11 read with section 151 of the Code of Civil Procedure, 1908 for rejection of plaint on 08.03.2021. The trial court proceeded with the said application and ultimately after hearing the parties and considering the facts and circumstances, vide Order No. 11 dated 10.10.2021 rejected the application for rejection of plaint. The petitioner being aggrieved by and dissatisfied with the aforesaid judgment and order passed by the trial court rejecting the application under Order 7, Rule 11 read with section 151 of the Code of Civil Procedure, 1908 preferred revision before the learned District Judge, Chattogram being Civil Revision No. 168 of 2021 and the revisional court after hearing the parties and considering the facts and circumstances vide order dated 02.12.2021 rejected the revision and thereby affirmed the order passed by the trial court. Being aggrieved by and dissatisfied with the said order the petitioners moved before this court and obtained the present rule.

The opposite party-plaintiffs contested the rule by filing application for discharging the rule by adducing papers and documents.

Mr. A. F. Hassan Arif, the learned senior counsel appearing on behalf of the petitioners, submits that the courts below in the present

case in hand without applying their judicial mind and without considering the facts and circumstances, provisions of law, most illegally and in an arbitrary manner passed the impugned judgment and order which requires interference by this court. He submits that both the courts below not only misread the facts and circumstances but also misinterpreted the provisions relates to cause of action as well as claiming of suit thus both the courts below committed error by their impugned judgment and order. The learned senior counsel placed the entire plaint and submits that in the case in hand the plaintiffs have challenging a mere power of attorney and such execution of a power of attorney by the defendants shall not create any right as emphasized in section 42 of the Specific Relief Act. The learned senior counsel placed the provisions of Order 7, Rule 11 of the Code of Civil Procedure, 1908 and submits that there is no cause of action at all in the case in hand as the said power of attorney is not affecting the right or interest of the plaintiff in any manner. The learned senior counsel also drawn the attention of this court regarding a prayer wherein the petitioner-plaintiff seek a decree upon the court below to appoint certain persons as directors which is not permissible in a ordinary suit as the jurisdiction lies with other special law. The learned senior counsel further submits that this is a fit case for rejection of plaint as because of section 42 of the Specific Relief Act as much as the plaint does not disclose any cause of action nor the execution of the power of attorney in question shall affect the right and character of the plaintiff in any manner. As such, Mr. Arif

submits that the instant rule is liable to be made absolute and the plaint itself is liable to be rejected on the given facts and circumstances.

Mr. Fida M. Kamal, the learned senior counsel appearing on behalf of the opposite party vehemently opposes the rule. He submits that both the courts below on proper appreciation of the facts and circumstances, provisions of law, has rightly rejected the application under Order 7 Rule 11 of the Code of Civil Procedure, 1908 thus the courts below committed no error which requires interference by this court. He submits that the question of cause of action or other aspects as raised by the opposite party-defendants can only be adjudicated at the time of trial by framing issues on that point as well as by adducing evidence both oral and documentary. He further submits that in the present case in hand the petitioner-defendants raises many questions which are highly disputed and can only be adjudicated on evidence not in limine. The learned senior counsel also placed the provisions of Order 7, Rule 11 of the Code of Civil Procedure, 1908 and submits that none of the grounds as raised or agitated by the petitioner comes within the purview of the aforesaid conditions stipulated thereon and as such the courts below committed no illegality in rejecting the application under Order 7, Rule 11 of the Code of Civil Procedure, 1908. The learned senior counsel further submits that admittedly in the present case in hand the entire assets and the shares have been transferred to the plaintiffs by specific agreement which was not only acted upon and the parties are about to close the deed and pursuant to the agreement the petitioner plaintiffs invested huge sum of money and taking care of the subject

matter and such power of attorney under challenged vigorously affecting the right and legal character of the plaintiffs and as such at this stage it cannot be said that the plaint has nothing to disclose and it is to be stopped at the very initiation. The learned senior counsel also placed the power of attorney as well as the agreement regarding the transfer of shares and other aspects. As such, Mr. Kamal prays for discharging the rule for ends of justice.

I have heard the learned counsels for the petitioners as well as opposite parties. I have also perused the impugned judgment and order passed by the courts below, revisional application grounds taken thereon, application for discharging the rule, provisions of law as well as papers and documents filed by both the parties.

On meticulous perusal of the papers and documents, it transpires that the present opposite party as plaintiffs instituted Other Suit No. 367 of 2020 in the court of Joint District Judge, 2nd Court, Chattogram impleading the petitioners as defendants for the reliefs as mentioned hereinabove. So, it transpires from the aforesaid prayers that apart from the prayer for declaring certain persons as directors in prayer-A and B the plaintiffs have challenged a registered deed of irrevocable general power of attorney duly executed by the defendants. It further transpires that after filing of the suit the defendants contested the same by filing power. Subsequently, the defendant-petitioner pressed an application under Order 7, Rule 11 read with section 151 of the Code of Civil Procedure, 1908. It further transpires that the same was contested in the trial court by both the parties and the trial court after hearing the parties

and considering the facts and circumstances rejected the same. The present petitioner thereafter moved before the learned District Judge, Chattogram by way of revision, but the revisional court also affirmed the impugned judgment and order passed by the trial court. Order 7, Rule 11 of the Code of Civil Procedure, 1908 runs as follows;

“The plaint shall be rejected in the following cases:--

(a) Where it does not disclose a cause of action:

(b) Where the relief claimed is undervalued, and the plaintiff, on being required by the court to correct the valuation within a time to be fixed by the court, fails to do so:

(c) Where the relief claimed is properly valued, but the plaint is written upon paper insufficiently stamped, and the plaintiff, on being required by the court to supply the requisite stamp-paper within a time to be fixed by the court, fails to do so:

(d) Where the suit appears from the statement in the plaint to be barred by any law:

Provided that the time fixed by the court for the correction of the valuation or supplying of the requisite stamp-paper shall not exceed twenty-one days”.

So, it transpires that at any stage on an application filed by the parties the court preserved the right to reject a plaint. However on satisfaction of the provisions as laid down in Order 7, Rule 11 of the Code of Civil Procedure, 1908. Admittedly, in the present case in hand both the parties placed several documents and also placed certain issues. But the cardinal principle is that in determining whether a plaint is to be

rejected, the court will take only the plaint and documents filed thereto into consideration and not what has been urged by the defendants in a petition or in the written statement. The power to reject a plaint or to return it for amendment should not be exercised except in a clear case and while dealing with an application under Order 7, Rule 11 of the Code of Civil Procedure, 1908 it is the duty of the court to apply its judicial mind and to see whether the conditions as stipulated in the law clearly applicable or not.

In the present case in hand the main contention of the petitioner is that there is no cause of action or the plaintiffs are not entitled to any legal right or character to sue. As per the provisions of section 42 of the Specific Relief Act a person who also filed a case must entitle to any legal right or character as to any property. In the present case in hand on meticulous perusal of the plaint, it transpires that a basic claim of the plaintiffs rest upon an agreement executed in between the parties on 28.08.2008 wherein as per the said deed of agreement the entire assets and liabilities are to be transferred by the companies in favour of the plaintiffs of the suit. The said contract also stipulated the modus operandi, process and procedure to be adopted for implementation of the said subject matter, namely the companies in question.

It has been vigorously argued and stated in the plaint that pursuant to that agreement the plaintiffs completed major terms and payments and about to complete the transaction and at that stage the power of attorney has been executed to frustrate the right and character acquired by the plaintiffs. On meticulous perusal of the application for rejection of plaint

pressed by the parties in the court below it transpires that the defendant-petitioners admitting the agreement dated 28.08.2008 prayed for rejection of the plaint on the ground that the said agreement had become void due to the failure of the parties to perform its contractual obligation under the aforesaid agreement and after expiry of the same after one year there is no subsistent interest giving rights to any cause of action and as such the suit must fail at its very inception and there is no necessity to drag a fruitless litigation by harassing the defendant-petitioners. Apart from the question of cancellation of the deed the further case as raised by the defendant in the application under Order 7, Rule 11 of the Code of Civil Procedure, 1908 is that instruments for transfer of the shares were also void instruments and not permissible in the eye of law furthermore.

It further transpires from the plaint itself is that the petitioners categorically stated that their right as to property and legal character has been violated or affected or denied and execution of the said power of attorney is a clear denial of the title and right accrued by the plaintiffs by virtue of an agreement. So, on meticulous perusal of the papers and documents as well as the submissions as advanced by the learned counsels it transpires that they raise numerous questions regarding right, title, entitlement and subsequent development including cancellation of certain agreement etc. It has been mentioned earlier in the light of the provision of law, namely Order 7, Rule 11 of the Code of Civil Procedure, 1908 that admittedly if on the averments made in the plaint no cause of action is disclosed that the court is bound to reject the plaint

and for ascertainment the cause of action the court has to read the plaint in its entirety.

In the present case in hand it transpires that whether the plaintiffs at all entitled to any legal character or to any right as to the property enabling them to file a suit can only be adjudicated and decided by the trial court by framing specific issues and by taking evidence both oral and documentary. There is a specific claim pressed by the plaintiffs by virtue of an agreement which as per the plaintiffs have already been acted upon in majority and as per the plaintiffs the power of attorney under challenged is a clear violation and/or affecting the right and character of the plaintiffs. On the other hand it has been also vigorously challenged by the defendants that the suit is not maintainable as because of the expiry of the contract itself and invalidity all the instruments. These contentions also required to be examined and adjudicated by the trial court by not only framing issues but also by adducing evidence both oral and documentary.

When there is a scope to reject the plaint exercising the power under Order 7, Rule 11 of the Code of Civil Procedure, 1908 or even under section 151 of the Code of Civil Procedure, 1908 a heavy duty cast upon the court to see whether such provision can be applicable as because allowing such application buried the right to sue of a party at the very inception and debarred for future litigation. In the present case in hand, it transpires that numerous contentions have been raised by both the parties which are not only mixed question of facts but also mixed question of law and it is now well settled proposition as laid down by

this court as well as our apex court that when there is a mixed question of facts and law involved as much as vigorous contention has been raised such dispute or the real question in controversy can only be adjudicated and addressed in a full pledged trial by framing issues and taking evidence both oral and documentary.

Considering the facts and circumstances and provisions of law I am of the view that the present case in hand the plaint is not liable to be rejected in *limine* exercising the power conferred under Order 7, Rule 11 read with section 151 of the Code of Civil Procedure, 1908 rather can only be adjudicated and decided by framing issues and by taking evidence both oral and documentary.

Accordingly, the instant rule is discharged without any order as to cost. The impugned judgment and order passed by the courts below are hereby affirmed. The trial court is directed to proceed with the suit expeditiously, as possible, not later than within 6(six) months from the date of receipt of the instant judgment. However, any observation made by this court shall not affect the adjudication of the suit by the trial court on merit.

The office is directed to communicate the judgment and order to the concerned court below at once.

(Mamnoon Rahman,J:)

Emdad. B.O.